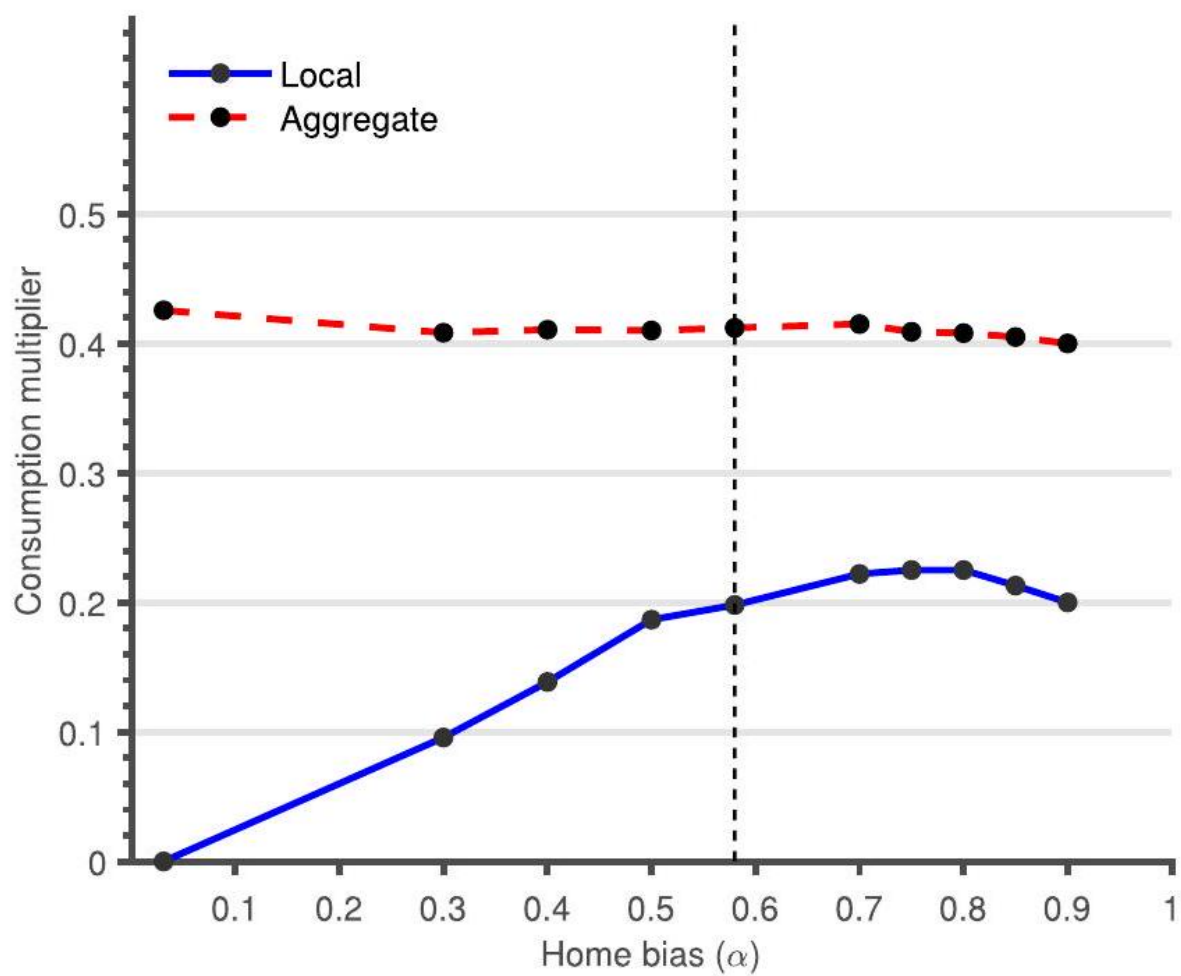




Consumption multipliers and trade linkages (model)

Notes: We vary parameter α which captures the degree of home bias for region 1 . The benchmark calibration is $\alpha = 0.58$ (vertical line). We show the local and the aggregate consumption multiplier for a four-year horizon.